

E-COMMERCE

Unit-II: Consumer-Oriented E-Commerce

Comprehensive Study Notes

1. Consumer-Oriented Applications

1.1 Introduction

Consumer-oriented e-commerce, also known as consumer-focused e-commerce or B2C (Business-to-Consumer) e-commerce, refers to online business models where businesses sell products and services directly to individual consumers through digital platforms. The primary focus is to provide a convenient, personalized, and seamless shopping experience for individual customers.

Examples of Consumer-Oriented E-Commerce

- Online retailers like Amazon, Flipkart, Myntra
- Clothing and footwear brands with online stores
- Food delivery platforms (Zomato, Swiggy)
- Online banking and financial services
- Digital entertainment services (Netflix, Spotify)

1.2 Consumer Lifestyle Needs

The convergence of money, commerce, computing, and networks is laying the foundation for a global consumer marketplace. Consumer applications can be broadly classified based on consumer lifestyle needs:

Category	Applications	Examples
Entertainment	Movies on demand, video cataloging, multi-user games, online discussions, social interactions	Netflix, Amazon Prime Video, YouTube, Spotify
Financial Services & Information	Home banking, personal finance management, financial news, portfolio management, stock trading	Paytm, Google Pay, Zerodha, Groww

Essential Services	Home shopping via electronic catalogs, telemedicine, online grocery, travel booking	Amazon, Zomato, Swiggy, MakeMyTrip
Education & Training	Interactive education, e-learning, video conferencing, online databases, certification programs	Coursera, Udemy, Zoom, Byju's

2. Mercantile Process Models

2.1 Definition and Importance

The **Mercantile Process Model** defines the interaction between the consumer and the merchant for online commerce. A well-established standard process for processing credit card purchases has contributed to the widespread dissemination of credit cards. Similarly, the establishment of common mercantile process models is expected to increase convenience for consumers in e-commerce.

2.2 Mercantile Models: Consumer's Perspective

The online consumer expects **quality, convenience, value, and low prices**. The process model from the consumer's point of view consists of **seven activities** grouped into **three phases**:

Phase 1: Pre-Purchase Determination

1. **Search and Discovery:** Finding products meeting customer requirements
2. **Comparison Shopping:** Comparing products based on various attributes
3. **Negotiation of Terms:** Discussing price, delivery times, etc.
4. **Placement of Order:** Finalizing the purchase decision

Types of Buyers Based on Purchase Deliberation

Buyer Type	Characteristics
Impulsive Buyers	Purchase quickly with little deliberation
Patient Buyers	Purchase after some analysis or comparison
Analytical Buyers	Do substantial research before purchasing

Types of Purchases

Purchase Type	Description
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Specifically Planned	Need recognized; bought exact item planned
Generally Planned	Need recognized; decided in-store on manufacturer
Reminder Purchase	Shopper reminded of need by store influence
Entirely Unplanned	Need not recognized when entering store

Phase 2: Purchase Consummation

After identifying the product, the buyer and seller interact (via email, online, etc.) to carry out the mercantile transaction. The mercantile transaction is the exchange of information between the buyer and seller, followed by necessary payment.

Phase 3: Post-Purchase Interaction

This phase includes customer service and support to address customer complaints, product returns, and product defects.

Key Customer Service Challenges

Challenge	Description
Inventory Issues	Company must inform customers when items are sold out
Database Access & Compatibility	Instant access to merchant inventory and database required
Customer Service	Questions about product attributes often require human interaction

2.3 Mercantile Models: Merchant's Perspective

The Order Management Cycle (OMC)

To fully realize and maintain a competitive advantage in the online environment, it is necessary to examine the Order Management Cycle (OMC) from the merchant's perspective.

Generic Steps in OMC

1. **Order Planning and Generation:** Production planners develop forecasts; orders generated through sales force, emails, or web pages
2. **Cost Estimation and Pricing:** Pricing bridges customer needs and company capabilities
3. **Order Receipt and Entry:** Customer enters the order after price confirmation
4. **Order Selection and Prioritization:** Customer service decides which orders to accept
5. **Order Scheduling:** Prioritized orders slotted into production/operational sequences

2.4 Mercantile Protocols

Type 1: Using Digital Cash

A bank "mints" electronic currency (e-cash) — a series of bits verified by the issuing bank. **Process:** Bank issues e-cash → Buyer transfers to seller → Seller verifies with bank → Bank charges fee. **Benefits:** Anonymous, easily transmitted. **Risks:** Theft or loss.

Type 2: Using Credit Cards

Two major components: **Electronic Authorization** and **Settlement**.

- **Authorization Process:** Third-party processor captures info → Transmits to issuer → Communicates response → Stores for settlement
- **Settlement Process:** Merchant account credited → Card issuer notified → Card holder's account debited
- **Benefits:** Reduction of credit card losses, lower merchant transaction costs

3. Advertising and Marketing on the Internet

3.1 The New Age Information-Based Marketing

Online marketing (digital or internet marketing) uses web-based channels to promote and advertise a business and its brand. It helps connect with customers where they already spend their time: browsing, shopping, or socializing online.

Importance of Online Marketing

Benefit	Description
Wide Reach and Visibility	Target audiences across cities, states, and countries
Cost Effective	Digital campaigns cost less than traditional advertising
Brand Loyalty	Consistent engagement builds trust and repeat purchases
Data-Driven Decisions	Real-time data on clicks, conversions, and behavior
Competitive Edge	Stand out and capture more market share

3.2 Advertising Models on the Internet

Two paradigms for online advertising:

A. Push-Based Advertising (Active Advertising)

Ads that are **proactively pushed to users**. The advertiser initiates the communication.

Model	Description	Example
Broadcast Model	Reaches large number of people quickly	USENET newsgroups, mass emails

Junk Email	Sending ads to email addresses from mailing lists	Spam emails (often against Netiquette)
Freeware	Distributing free software to advertise other products	Netscape Navigator (free browser promoted web servers)

B. Pull-Based Advertising (Passive Advertising)

A **consumer-centric approach** where the publicity of content is achieved by viral sharing and pass-along among users. The consumer actively seeks or engages with the content.

Model	Description	Example
Billboard/WWW Model	Ads placed where users will see them	Search engine ads, banner ads
Catalog/Yellow Pages Model	Databases searched by customers	Online catalogs, directories
Commentary Model	Customers encouraged to comment on products	Product reviews, testimonials, social proof

Example: ALS Ice Bucket Challenge — viral social event leading to over **3 million donors** and **1.2 million shared videos**.

3.3 Guidelines for Internet Advertising

1. **Respect User Preferences:** Avoid spamming and intrusive ads
2. **Provide Value:** Create content users find helpful or entertaining
3. **Build Trust:** Use social proof (reviews, testimonials)
4. **Monitor Engagement:** Track clicks, conversions, and user behavior
5. **Adapt to Platform:** Different platforms require different approaches

4. Online Marketing Process

4.1 Step-by-Step Online Marketing Process

The online marketing process follows a structured approach to attract, retain, and engage customers:

1. **Define Target Audience:** Understand who customers are (age, location, shopping habits, interests)
2. **Build Strong Brand Presence:** Make website and social pages reflect brand identity
3. **Choose Marketing Channels:** Pick channels matching audience and goals
4. **Create Engaging Content:** Produce helpful blogs, product videos, how-to guides
5. **Run Targeted Campaigns:** Use Google Ads and Meta Ads to reach specific audiences
6. **Optimize and Automate:** Track campaign performance; automate repetitive tasks
7. **Retain Customers:** Create loyalty programs, send personalized recommendations

4.2 Shopper Lifecycle Marketing Framework

A lifecycle marketing framework provides a roadmap for engaging shoppers at each stage:

Stage	Activities
1. Attraction	Content marketing (SEO), programmatic ads, social media presence, marketplace presence, AI chatbots
2. Purchase	Optimized online store, streamlined checkout, mobile optimization, cart abandonment reminders, multiple payment options
3. Fulfillment	Order confirmations, shipping updates, customer support (chatbot, email, telephone), social media service

4. Retention	Loyalty program updates, exclusive offers, email newsletters, referral programs, review requests
5. Reorder	Retargeting ads, personalized email marketing, SMS deals, bonus loyalty points

4.3 Online Marketing Tools

Tool Category	Examples	Purpose
Email Marketing	Mailchimp, Klaviyo	Personalized emails, offers, updates
Social Media Marketing	Facebook, Instagram, LinkedIn	Awareness, paid campaigns, community building
SEO	Semrush, Ahrefs	Improve visibility, attract organic traffic
Content & Video Marketing	YouTube, Canva	Showcase products, tell brand story
Marketing Automation	HubSpot, Zapier	Automate emails, cart reminders, follow-ups
CRM	Salesforce, Zoho	Manage leads, personalize experiences
PPC Advertising	Google Ads, Meta Ads	Instant visibility, measurable results
Affiliate/Influencer Marketing	Shopify Collabs	Expand reach affordably

Summary of Unit II

Topic	Key Points
Consumer-Oriented Applications	Entertainment, Financial, Essential Services, Education
Mercantile Process Models	Define consumer-merchant interaction; 3 phases: Pre-Purchase, Purchase Consummation, Post-Purchase
Consumer Perspective	Search → Compare → Negotiate → Order → Pay → Receive → Service
Merchant Perspective	Order Management Cycle: Planning → Pricing → Receipt → Prioritization → Scheduling
Push Advertising	Active broadcasting (email, mass media) — advertiser initiates
Pull Advertising	Passive, consumer-centric (catalogs, reviews, viral sharing) — consumer engages
Online Marketing Process	7 steps: Audience → Brand → Channels → Content → Campaigns → Optimize → Retain
Lifecycle Marketing	Attraction → Purchase → Fulfillment → Retention → Reorder
Marketing Tools	SEO, Social Media, Email, Automation, PPC, CRM, Influencer Marketing

Previous Year Questions — Unit II

1. Explain consumer-oriented e-commerce applications with examples. (10 marks)
2. What is a mercantile process model? Explain it from the consumer's perspective. (10 marks)
3. Discuss the mercantile process model from the merchant's perspective with a diagram. (10 marks)
4. Differentiate between push-based and pull-based advertising models. (10 marks)
5. Explain the online marketing process for e-commerce businesses. (10 marks)
6. Describe the three phases of the consumer mercantile process model. (10 marks)
7. What is the Order Management Cycle? Explain its steps. (10 marks)
8. Explain the importance and tools of online marketing for e-commerce. (10 marks)
9. Compare digital cash and credit card-based mercantile protocols. (5 marks)
10. Write short notes on: Consumer lifestyle needs, Shopper Lifecycle Marketing, Push vs Pull Advertising, CRM. (5 marks each)